based exchange rate fails to reflect the purchasing power of money to buy non-traded goods. Apart from that, the trade is not a free flowing one. It is subject to many manipulations and obstructions and so is the exchange rate. To overcome this problem, the PPP based exchange rate is used to convert the income of different currencies in to a common currency, namely US PPP$.

Apart from the above cited reasons, it is important to note that the price of goods and services in developed countries is very high compared to developing and less developed countries. It is like the difference in price of goods and services between urban and rural areas. It means, the purchasing power of money in developed countries is lower than that of developing and less developed countries. So, in developing and less developed countries, less money is enough to buy more goods than that is possible in developed countries. So, with less money they enjoy high standard of living.

The trade based exchange rate does not reflect this reality. So, the PPP based exchange rate is used to compare the standard of living of people and stage of development.

Take an example;

The per capita income of India is ₹400. The same in US dollar is $8 when trade based exchange rate is ₹50 = $1. The same in PPP based exchange rate is $16, if PPP based exchange rate is ₹25 = PPP US $1.

It is vivid that the PPP based exchange rate reflects higher standard of living than trade based exchange rate system.

It is important to note that the PPP$ is a unit of account and not a medium of exchange. It means the PPP$ can be used for measurement of income and cannot be used to purchase or sale of goods.

Convertibility

As said in the previous passages, exchange rate is not free market